The Kansas City Public Service Company readjustment plan, also consummated in 1933, was designed to meet the simpler problem of reducing interest charges during a supposedly temporary period of subnormal earnings. It provided that the coupon rate on the 6% first-mortgage bonds should be reduced to 3% during the four years 1933–1936, restored to 6% for 1937–1938, and advanced to 7% for 1939–1951, thus making up the 12% foregone in the earlier years. A substantial sinking fund, contingent upon earnings; was set up to retire the issue gradually and to improve its market position.

It was obvious that the Kansas City Public Service bondholders were better off to accept temporarily the 3% which could be paid rather than to insist on 6% which could not be paid and thereby precipitate a receivership. (The previous receivership of the enterprise, terminated in 1926, had lasted six years.) In this case the stockholders were not required to give up any part of their junior interest to the bondholders in return for the concessions made. While theoretically some such sacrifice and transfer would be equitable, it was not of much practical importance here because any stock bonus given to the bondholders would have had a very slight market value.[10] It should be recognized as a principle, however, that the waiving of any important right by the bondholders entitles them to some *quid pro quo* from the stockholders—in the form either of a contribution of cash to the enterprise or of a transfer of some part of their claim on future earnings to the bondholders.[11]

In 1939 additional legislation of a temporary nature was adopted, designed to facilitate so-called "voluntary reorganizations" of railroads by making them binding on all security holders.[12] This statute was

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[10] In 1936 the company effected a second voluntary rearrangement, under which the interest rate was fixed at 4%, and the bondholders received a rather nugatory bonus of common stock. In 1939 still a third voluntary modification was accepted, in which bondholders took 30% in cash and 70% in preferred stock for their bonds—the money being advanced as a loan by the R.F.C.

[11] The reorganization of Industrial Office Building Company in 1932–1933 is a remarkable example of the conversion of fixed-interest bonds into income bonds without sacrifice of any kind by the stockholders. A detailed discussion of this instance is given in Appendix Note 32.

[12] This is the Chandler Railroad Readjustment Act of 1939, which actually adds a new Chap. XV to the Bankruptcy Act. Action thereunder must be begun before July 31, 1940, and must be substantially concluded within a year after its initiation. As far as the reorganization technique